

That money, however, is not his, and it's not meant to be used any other way. Good money boundaries, understanding who pays for what, are crucial. You don't want your children to grow up to be the kind of jerks who don't put in their fair share for a big restaurant bill. I suspect those people grew up with bad money boundaries. Regardless of their excuse, I don't eat a second meal with anyone who cheaps out. Learning how to make change is also as crucial as memorizing multiplication tables. As soon as your kid knows what money is, sit him or her down and do some basic money math.

- 2. If, after hearing you say you couldn't afford something he or she wanted, has your child ever suggested you put it on a credit card? Or asked you to pay for it, with the promise of paying you back from his or her savings when you get home?**

If your kid is too old to wash his or her mouth out with soap, this is an opportunity for a serious sit-down. It's important to tell your kids that credit cards are good for only two things: to save you from having to carry cash, and to establish a credit rating. That's it. They must lose the idea, right from the get-go, that credit cards are magic, a different kind of money. As for on-the-spot purchases, this is a good opportunity to teach your kids about delayed gratification. If they're not prepared to purchase something, because they've left their money at home, then it'll have to wait until another trip to the mall.

- 3. Does your child gaze through catalogues, websites, or magazines pointing out all the things he or she wishes to have?**

Kids love things and stuff, and when they're young, there's something fantastical about pointing at a picture and the toy suddenly appearing under a tree or on their birthday. But this is an opportunity to begin showing kids the difference between a need and a want. Needs are things like food and clothing. Wants are toys and games. And then there are the big-screen TVs they wish they had on the wall in their rooms, and the \$3,000 tricked-out Mac that, if they want, they'll have to buy